Economics_2023_PYQ

Group-A (Very Short Answer Type Question)

Answer any ten of the following:

1.

a) How does inflation help in the redistribution of income?

b) When market value of an asset is higher than book value, then depreciation is not charged (True / False)

c) What do you mean by Cash-flow diagram?

d) The cash flows method, utilized by the internal rate of return and net present value method is known as _____

e) What is Inflation?

f) If adequate maintenance expenditure is incurred, there is no need of charging depreciation (True / False).

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g) Time value of money theory describes money received in the current time which is more valuable than money received in future (True / False)

h) Cash flow is an example of an investment activity is also considered as Sale of Investment by Non-Financial Enterprise (True / False)

i) The minimum expected rate of return that is needed to persuade an investor to purchase the security at given risk is rate of return (True / False)

j) The main objective of depreciation is calculation of net profit (True / False)

k) What is Working Capital?

l) The degree correlation between risk and return over a longer period of time is generally believed to be as highly positive (True / False)

Group-B (Short Answer Type Question)

Answer any three of the following:

2. What are the three types of cash flows presented on the statement of cash flows?
3. What is Green Engineering?
4. Write a short note on expenditures for on depreciable assets by the business firms.
5. Is there any necessity of discrete probability distribution?
6. "Estimation is the foundation of economic analysis"--Explain.

Group-C (Long Answer Type Question)

Answer any three of the following:

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7. (a) What Is the Benefit-Cost Ratio (BRC)?
   (b) What Is the Benefit-Cost Ratio (BCR) Used for?
   (c) What Does a Benefit-Cost-Ratio Over 1.0 Suggest?
   (d) What are the Limitations of the BCR?

8. (a) What is time value of money?
   (b) What is the difference between annually and continuously compounding interest?
   (c) What does net present value mean?
   (d) Why is the time value of money important?

9. Explain the improvement with Learning Curve.

10. (a) What is triangulation?
    (b) What are the advantages of Future worth?
    (c) What are the disadvantages of Future worth?

11. (a) How is CPI used to measure inflation?
    (b) Does an increase in CPI mean inflation?
    (c) What are the probability distributions for the annual benefit and life for the following project?
    The annual benefit's most likely value is $8000 with a probability of 60%. There is a 30%

probability that it will be $5000 and the highest likely value is $10,000. A life of 6 years is twice as likely as a life of 9 years.

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